

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 219.74		USD 42.26		-80.8%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	14.7% Discount rate (CAPM)	USD 42.26 -81% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 42.26, against a market price of USD 219.74 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 105%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong business with exceptional margin potential, but at USD 220 the market prices in unsustainably high growth that we see as unrealistic, warranting a SELL.

Business quality: Strong · **Stock:** SELL — NVIDIA demonstrates robust operating margins expanding to 60%+ by FY2026 and leadership in AI-related technologies, reflecting a durable competitive advantage.

What the market prices in. The current share price implies a first-year revenue growth of approximately 105% with a decaying trajectory thereafter, reflecting expectations of near-doubling revenues annually in the near term.

What we expect. We forecast a more conservative 20% revenue growth in year one, growing at a slower pace thereafter, with terminal operating margins stabilizing at 36.2% and long-term growth at 2.5%.

The gap. The market's aggressive growth assumptions are materially higher than our base case, leading to an 81% downside to our intrinsic DCF value of USD 42.26; this gap reflects over-optimism on sustained hypergrowth and margin expansion.

Why SELL

- 1 Reverse DCF shows market pricing in >100% revenue growth initially, which is unsupported by historical and realistic industry trends.
- 2 Our scenario analysis assigns only a 25% probability to a bull case with USD 93 fair value, underscoring the risk of overvaluation.
- 3 Operating margins in our model normalize to 36.2%, significantly below the peak 60%+ margins implied by market expectations.
- 4 High discount rate of 14.7% reflects execution and competitive risks, which the market appears to underweight.
- 5 Management's forward-looking statements emphasize significant risks and uncertainties, including supply chain and competitive pressures.

Biggest catalyst. A material slowdown or miss in revenue growth or margin expansion relative to market expectations, triggering a sharp re-rating downward.

Biggest risk. Sustained acceleration in AI adoption and NVIDIA's ability to capture outsized market share, driving revenue growth and margins well above our base case.

We would turn more positive if:

- Sustained quarterly revenue growth exceeding 100% year-over-year for multiple consecutive quarters.
- Operating margins consistently above 55% beyond FY2025.
- Successful launch and market adoption of new AI architectures (e.g., Blackwell) driving significant incremental revenue.

We would turn more negative if:

- Revenue growth falling below 15% year-over-year in the next fiscal year.

- Operating margins declining below 30% due to competitive or supply chain pressures.
- Negative industry developments or regulatory challenges impacting NVIDIA's market position.

The case against our view. The market may be correctly pricing in a paradigm shift driven by AI acceleration that could sustain hypergrowth and margin expansion beyond historical norms, which our conservative model fails to capture.

BUSINESS OVERVIEW

NVIDIA generates revenue primarily from Compute & Networking and Graphics segments, serving direct and indirect customers globally with AI-driven computing platforms.

NVIDIA's revenue is concentrated in two operating segments: Compute & Networking and Graphics. In fiscal year 2026, Compute & Networking accounted for \$193.5 billion of the total \$215.9 billion revenue, representing approximately 90%, while Graphics contributed \$22.5 billion or about 10% [5]. The Compute & Networking segment's growth is driven by accelerated computing and AI platform shifts, with Data Center computing revenue increasing 59% year-over-year due to demand for the Blackwell platform, and Data Center networking revenue surging 142% fueled by NVLink compute fabric and Ethernet/InfiniBand adoption [2]. Graphics revenue growth is also attributed to sales of the Blackwell architecture [2][6][7][8].

NVIDIA sells primarily to direct customers, including add-in board manufacturers, distributors, ODMs, OEMs, cloud service providers (CSPs), AI model makers, and system integrators, who may further sell to indirect customers such as CSPs, Neocloud builders, enterprises, and public sector entities [1][2][6][7][8]. Revenue concentration is significant, with one direct customer representing 22% and another 14% of total revenue in fiscal 2026, both mainly within Compute & Networking [1][2][6][7]. Indirect customers also contribute materially, with some estimated to represent 10% or more of total revenue, primarily purchasing through direct customers [2][6][7][8].

Geographically, NVIDIA's revenue is predominantly from U.S.-headquartered customers, accounting for \$149.6 billion in fiscal 2026, or roughly 69% of total revenue, followed by Taiwan at \$42.3 billion and China (including Hong Kong) at \$19.7 billion [3]. The company recently shifted to recognizing revenue based on customer headquarters location to better reflect geographic revenue profiles [1].

Gross margin declined to 71.1% in fiscal 2026 from 75.0% in fiscal 2025, impacted by a \$4.5 billion charge related to H2O excess inventory and purchase obligations, reflecting a transition from Hopper HGX systems to Blackwell full-scale datacenter solutions [4]. Despite this, operating income increased year-over-year, with Compute & Networking segment operating income rising to \$130.1 billion and Graphics to \$9.2 billion in fiscal 2026 [5].

- Compute & Networking segment revenue: \$193.5 billion in fiscal 2026, ~90% of total revenue [5]
- Graphics segment revenue: \$22.5 billion in fiscal 2026, ~10% of total revenue [5]
- Top direct customer accounted for 22% of total revenue in fiscal 2026, primarily in Compute & Networking [1][2]
- U.S.-headquartered customers contributed \$149.6 billion, 69% of total revenue in fiscal 2026 [3]
- Data Center computing revenue grew 59% year-over-year driven by Blackwell platform demand [2]
- Gross margin declined to 71.1% in fiscal 2026 due to \$4.5 billion inventory charge [4]

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [3] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [5] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77
- [6] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.27
- [7] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [8] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25

FINANCIAL PERFORMANCE

NVIDIA's FY2026 revenue surged 65% driven by AI and accelerated computing, while margins compressed due to product mix and inventory charges.

NVIDIA reported fiscal year 2026 revenue of \$215.9 billion, a 65% increase from \$130.5 billion in fiscal 2025, fueled primarily by accelerated computing and AI platform shifts. Data Center revenue rose 68%, propelled by Blackwell architecture adoption and new product launches like DGX Spark, while Gaming revenue grew 41% on strong Blackwell demand despite anticipated supply constraints in FY2027. Professional Visualization and Automotive segments expanded

70% and 39%, respectively, reflecting robust demand for AI solutions and self-driving platforms [1][3][7].

Gross margin declined 3.9 percentage points to 71.1% from 75.0% in FY2025, attributable to the transition from Hopper HGX systems to Blackwell full-scale datacenter solutions and a significant \$4.5 billion charge related to H2O excess inventory and purchase obligations. Inventory provisions totaled \$7.2 billion in FY2026, substantially higher than \$3.7 billion in FY2025, negatively impacting gross margin by 2.6%. This inventory charge, combined with the product mix shift, explains the margin contraction despite strong revenue growth [1][3][8].

Operating expenses increased 41% to \$23.1 billion, driven by higher compensation and benefits costs due to employee growth, as well as increased compute and infrastructure expenses supporting new product development. Research and development expenses rose 43% to \$18.5 billion, while sales, general and administrative expenses increased 31% to \$4.6 billion, reflecting investments in engineering and go-to-market capabilities [1][5][7].

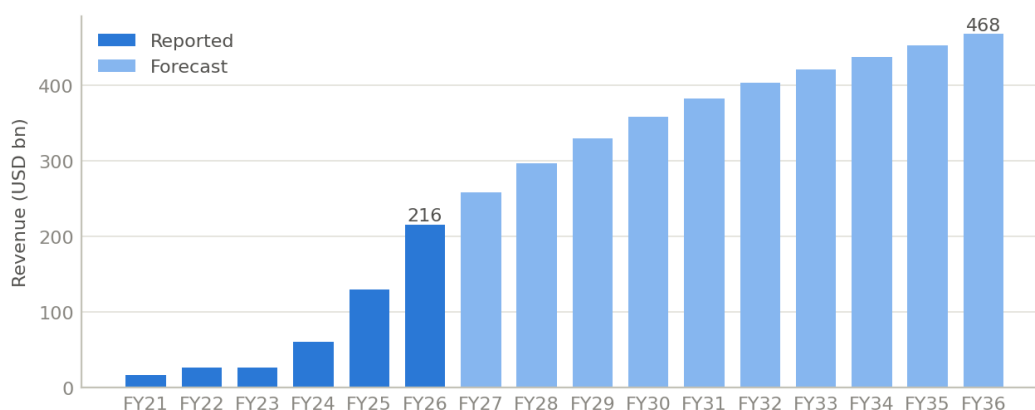
Operating income grew 60% to \$130.4 billion, and net income rose 65% to \$120.1 billion, with net income per diluted share increasing 67% to \$4.90. Despite margin pressures, strong revenue growth and disciplined expense management drove substantial profitability gains. Operating cash flow surged 60% to \$102.7 billion, supporting capital expenditures of \$6.0 billion and free cash flow of \$96.6 billion, underscoring robust cash generation capacity [1][6].

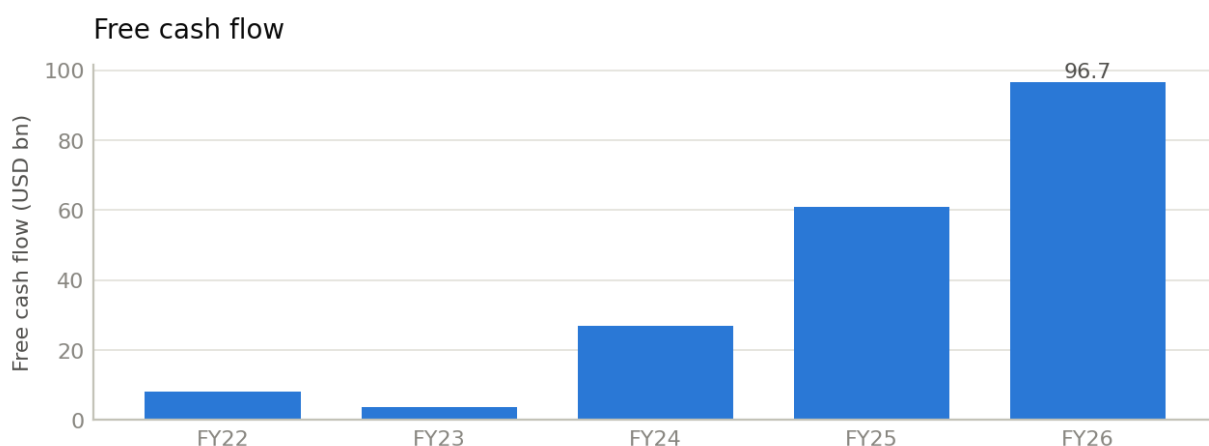
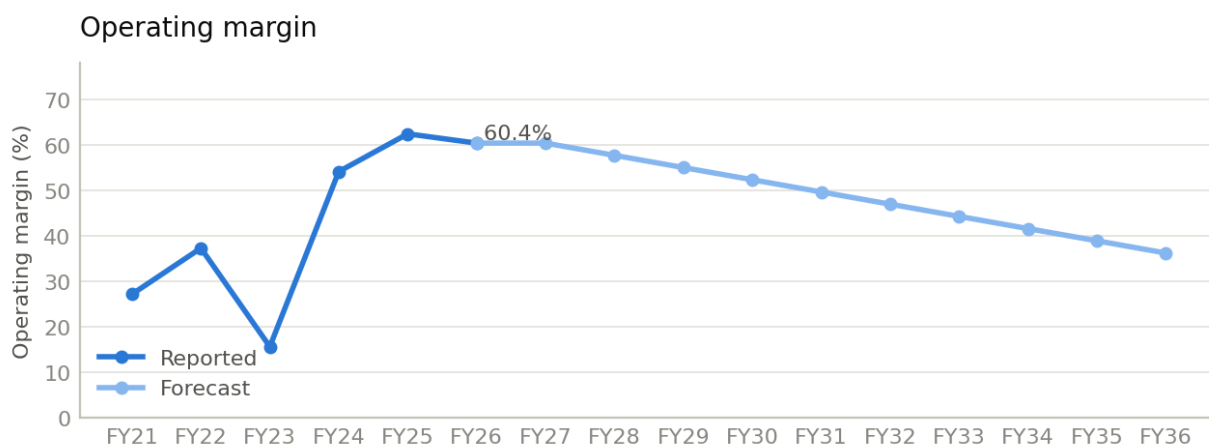
- Revenue increased 65% to \$215.9 billion in FY2026, led by 68% growth in Data Center and 41% in Gaming segments [1][3].
- Gross margin declined 3.9 points to 71.1%, impacted by a \$4.5 billion H2O inventory charge and product mix shift to Blackwell solutions [1][8].
- Operating expenses rose 41% to \$23.1 billion, with R&D; up 43% to \$18.5 billion and SG&A; up 31% to \$4.6 billion [1][5].
- Net income grew 65% to \$120.1 billion; diluted EPS increased 67% to \$4.90 [1].
- Operating cash flow increased 60% to \$102.7 billion, enabling \$6.0 billion in capital expenditures and \$96.6 billion in free cash flow [6].

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [7] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

Revenue: reported and forecast





Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by AI platform Blackwell, expanding AI compute demand, and strategic supply chain investments, with visible gains in data center and automotive segments.

Fiscal year 2026 revenue surged 65% to \$215.9 billion, propelled by accelerated computing and AI platform shifts, notably Blackwell, which drove 41% gaming revenue growth and 70% professional visualization growth, evidencing strong market adoption of new AI architectures and DGX Spark systems. Data Center revenue rose 68%, reflecting the centrality of AI workloads, while automotive revenue increased 39%, supported by self-driving platform adoption and the introduction of Alpamayo, an open AI portfolio for autonomous vehicles, signaling expansion into physical AI and robotics markets with partners like Mercedes-Benz and Boston Dynamics [1][2].

Management highlights the exponential growth in AI compute demand across training and inference, with Blackwell Ultra and Vera Rubin architectures delivering significant cost and performance advantages, underpinning enterprise adoption of AI agents and foundation models. The robotaxi market, with fleets scaling from thousands to millions of vehicles, is poised to generate hundreds of billions in revenue, driving orders of magnitude increases in compute requirements and reinforcing NVIDIA's platform dominance [2][4][5][6].

Visible growth drivers include the ramp of Blackwell-based products, robust data center demand, and automotive platform expansion. Prospective drivers encompass the scaling of AI ecosystems globally, enterprise AI agent adoption, and

industrial physical AI applications via partnerships with Dassault Systèmes, Siemens, and Synopsys, which extend NVIDIA's AI infrastructure into digital twins and simulation, broadening addressable markets beyond traditional computing [2][4].

Supply chain and manufacturing capacity enhancements, particularly increased U.S.-based production and investments in specialized equipment, aim to mitigate supply constraints and support sustained AI infrastructure demand. Despite near-term gaming supply headwinds, strategic inventory and capacity commitments reflect management's confidence in long-term growth opportunities and operational resilience amid macroeconomic uncertainties [1][2][7][8].

- Fiscal 2026 revenue grew 65% to \$215.9 billion, led by 68% Data Center and 41% Gaming growth driven by Blackwell [1].
- Automotive revenue rose 39% in fiscal 2026, with \$604 million in Q4 driven by self-driving platforms and Alpamayo AI portfolio [1][2].
- Blackwell Ultra and Vera Rubin architectures deliver order-of-magnitude cost reductions and performance gains in AI inference [5][6].
- Robotaxi fleets scaling to millions of vehicles forecast hundreds of billions in revenue, driving exponential compute demand [2].
- Strategic U.S. manufacturing investments aim to strengthen supply chain and meet AI infrastructure demand [7][8].
- Q4 fiscal 2026 GAAP gross margin was 75%, with operating expenses up 16% sequentially due to new product introductions and infrastructure costs [2].

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[2] Q42026 Quarterly Report - Corrected Transcript - p.6

[3] Q22026 Earnings Release (8-K) - p.5

[4] Q32026 Earnings Release (8-K) - p.5

[5] Q42026 Earnings Release (8-K) - p.6

[6] FY2026 Earnings Release - NVIDIA Corporation - p.6

[7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25

[8] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

COMPETITIVE POSITION

NVIDIA faces intensifying competition from established semiconductor firms, cloud providers, and geopolitical export controls that challenge its market share and supply chain resilience.

NVIDIA competes across multiple domains including GPUs, CPUs, DPUs, SoCs, and networking products against formidable rivals such as AMD, Intel, Huawei, and large cloud service companies like Amazon, Microsoft, and Alibaba. These competitors often possess greater financial, manufacturing, and marketing resources, enabling them to adapt more rapidly to technological shifts and customer demands, thereby intensifying competitive pressure on NVIDIA's pricing and market share [1][2]. Additionally, some customers develop internal solutions that could replace NVIDIA's offerings, further fragmenting demand and increasing competitive risk [2].

Export controls and geopolitical factors have materially harmed NVIDIA's competitive position, particularly in the China data center market where the company is effectively foreclosed due to U.S. and Chinese government restrictions. This has allowed competitors based in China, Europe, and Israel to expand their ecosystems and challenge NVIDIA globally. The complexity and uncertainty of export licensing, including recent U.S. measures like the rescinded AI Diffusion IFR and the pending GAIN AI Act, add operational burdens and risk loss of market opportunities [3][4].

Supply chain constraints and long manufacturing lead times, sometimes exceeding twelve months, exacerbate NVIDIA's competitive challenges. The company must commit to non-cancellable purchase orders and pay premiums to secure capacity, which increases costs and risks inventory obsolescence amid fluctuating demand. Mismatches between supply and demand have previously resulted in excess inventory write-downs impacting gross margins by 2.6% in fiscal 2026, and could recur if demand forecasts prove inaccurate or if customers shift to competitors [5][7].

NVIDIA's strategic response includes increasing U.S.-based manufacturing to enhance supply chain resiliency and meet AI infrastructure demand. However, this transition depends on the domestic ecosystem's capacity to scale production timely. Macroeconomic factors such as tariffs, inflation, and geopolitical developments continue to complicate supply chain management and pricing strategies, potentially constraining NVIDIA's ability to compete effectively on cost and delivery [6].

- NVIDIA's competitors include AMD, Intel, Huawei, Amazon, Microsoft, and Alibaba across GPUs, CPUs, SoCs, and networking products [1].

- Export controls have effectively foreclosed NVIDIA from China's data center market, benefiting competitors in China, Europe, and Israel [3][4].
- Inventory provisions related to excess or obsolete stock negatively impacted gross margin by 2.6% in fiscal 2026 [5].
- Manufacturing lead times can exceed 12 months, requiring non-cancellable orders and premium payments to secure capacity [5][7].
- Fiscal 2026 revenue grew 65%, driven by AI and accelerated computing, but gross margin declined due to inventory charges and product transitions [8].
- U.S.-based manufacturing investments aim to improve supply chain resiliency but depend on domestic production ramp-up capabilities [6].

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [3] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [4] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38
- [6] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.23
- [7] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

OUTLOOK

NVIDIA plans disciplined capital returns with \$71.2 billion repurchase authorization and sustained dividends amid strong fiscal 2026 cash flow generation.

NVIDIA's Board of Directors authorized an incremental \$60.0 billion share repurchase program on August 26, 2025, raising total repurchase capacity to \$71.2 billion as of that date, with no expiration, reflecting management's commitment to returning capital to shareholders while maintaining flexibility to suspend repurchases at its discretion. The company executed substantial buybacks throughout fiscal 2026, repurchasing 282 million shares for \$40.4 billion, evidencing aggressive capital deployment to offset dilution and enhance shareholder value amid robust liquidity conditions [1][2][6].

Dividend payments totaled \$974 million in fiscal 2026, with quarterly distributions consistently approved by the Board based on shareholder interest alignment. The dividend policy remains contingent on ongoing Board evaluation, indicating a balanced approach between returning cash and preserving capital for strategic investments [1][2][3][4][6].

Fiscal 2026 free cash flow generation was exceptionally strong at \$97 billion, enabling NVIDIA to return \$41 billion (43% of free cash flow) to shareholders through dividends and repurchases. This robust cash flow underpins management's outlook and capital allocation strategy, which prioritizes disciplined investment in technology and ecosystem development to sustain long-term growth and shareholder returns superior to peers [5].

For fiscal 2027 first quarter guidance, NVIDIA projects revenue of \$78 billion $\pm 2\%$, driven primarily by Data Center growth, while maintaining gross margins in the mid-70% range. The outlook excludes Data Center compute revenue from China, reflecting cautious geopolitical considerations. Stock-based compensation will now be included in non-GAAP results, underscoring the importance of talent retention in sustaining competitive advantage [5].

- \$71.2 billion total share repurchase authorization as of August 26, 2025, with no expiration [1].
- 282 million shares repurchased for \$40.4 billion in fiscal 2026 [2].
- \$974 million paid in cash dividends during fiscal 2026 [2].
- \$97 billion free cash flow generated in fiscal 2026, with \$41 billion returned to shareholders (43%) [5].
- Q1 fiscal 2027 revenue guidance of \$78 billion $\pm 2\%$, driven by Data Center growth excluding China [5].
- GAAP and non-GAAP gross margins expected around 75% ± 50 basis points in Q1 fiscal 2027 [5].

Sources cited above.

- [1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [3] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
- [5] Q42026 Quarterly Report - Corrected Transcript - p.6
- [6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
- [7] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
- [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Customer Concentration Risk Loss or reduced purchases from top customers (22% and 14% of total revenue) would sharply reduce Compute & Networking segment revenue.	Medium	Potential loss or reduction of up to 36% of total revenue, primarily hitting Compute & Networking segment which drives a majority of operating profit.	Could push fair value down toward bear case \$21.58 (-90% vs price), as revenue and operating margin assumptions would be materially impaired.	Quarterly revenue contribution and order volume from top two direct customers.
Export Control Restrictions US export controls limit sales to key customers and geographies, reducing addressable market and forcing costly transitions or lost sales.	High, ongoing and expanding	Could reduce total addressable market and revenue growth by 20-30%, especially in high-margin data center and AI segments.	Could drive valuation toward bear case \$21.58 or lower by compressing revenue CAGR below base 8.0% and limiting margin expansion.	Number and scope of denied or delayed US export licenses and related revenue impact disclosed quarterly.
Partner Channel Disruption System integrators and channel partners failing to meet complex system specs or altering purchasing patterns could reduce sales volume and delay revenue recognition.	Medium	Could delay or reduce sales by 10-15% of total revenue, impacting Compute & Networking segment and overall operating margins.	Could reduce fair value by 20-30% from base case \$42.26 due to slower revenue growth and margin pressure.	Quarterly order cancellations, delays, or changes reported by major partners and system integrators.
Customer In-House Solution Development Key customers developing their own AI and compute solutions would reduce demand for NVIDIA's products and erode market share.	Low to Medium	Potentially reduces revenue growth by 5-10% annually in Compute & Networking segment.	Could reduce intrinsic value by 10-15% from base case \$42.26 if sustained over multiple years.	Public announcements or procurement shifts toward in-house hardware by top customers.
Credit and Payment Delays from Channel Partners Limited credit capacity of distributors and integrators near quarter ends could delay revenue recognition and cash flow.	Medium	Could cause short-term revenue timing shifts affecting quarterly results by up to 5%, with limited long-term impact.	Minimal impact on long-term valuation but could increase short-term volatility around earnings.	Quarterly days sales outstanding (DSO) and accounts receivable aging from channel partners.

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 42.26	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 235.56 (+7.2% vs price). Reconciled from USD 42.26 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 219.74. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 219.74	Gap
Revenue CAGR (10-year)	8.0%	32.6%	+24.6pp
Operating margin (mature)	36.2%	—	—
FCF margin (mature)	30.0%	—	—
Terminal growth	2.5%	13.1%	+10.6pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	259.1bn	20.0%	60.4%	123.0bn	107.3bn
FY2028	297.3bn	14.8%	57.7%	137.1bn	104.3bn
FY2029	330.3bn	11.1%	55.0%	147.0bn	97.5bn
FY2030	358.4bn	8.5%	52.3%	153.1bn	88.6bn
FY2031	382.4bn	6.7%	49.6%	156.0bn	78.7bn
FY2032	403.2bn	5.4%	47.0%	156.2bn	68.7bn
FY2033	421.6bn	4.6%	44.3%	154.4bn	59.2bn
FY2034	438.2bn	3.9%	41.6%	150.9bn	50.5bn
FY2035	453.6bn	3.5%	38.9%	146.1bn	42.6bn
FY2036	468.1bn	3.2%	36.2%	140.3bn	35.7bn

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.2%	2.0%	16.2%	USD 21.58	-90%	25%
Base case	20.0%	36.2%	2.5%	14.7%	USD 42.26	-81%	50%
Bull case	40.0%	48.2%	3.0%	13.2%	USD 92.74	-58%	25%

Probability-weighted value USD 49.71 (-77.4% vs price). Range USD 21.58 to USD 92.74, a spread of 168% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 16.2% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 20% decaying toward 2.5%, a terminal margin of 36%, discounted at 14.7%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 40%, margins recover toward 48%, and an easing risk premium lowers the discount rate to 13.2%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

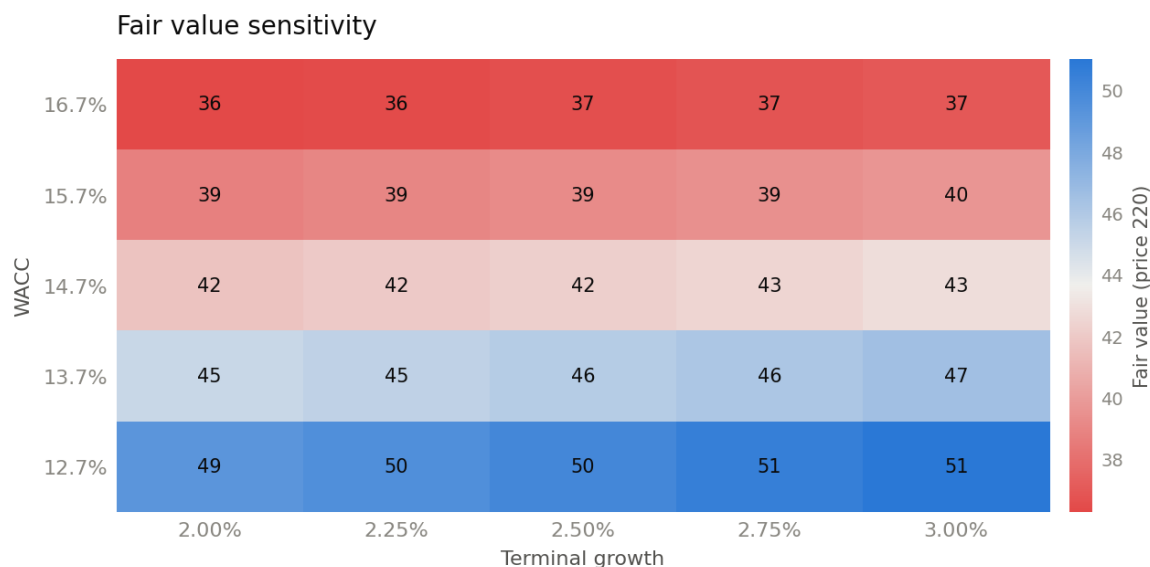
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted $(0.67 \times 2.21 + 0.33 \times 1.00) = 1.81$
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026
Cost of equity	14.7%	Derived from filings	CAPM: $4.71\% + 1.81 \times 5.50\%$
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.71\% + 1.5\%$ investment-grade spread
WACC (discount rate)	14.7%	Derived from filings	$100\% \text{ equity} \times 14.68\% + 0\% \text{ debt} \times 6.21\% \times (1 - 13\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	20.0%	Model estimate (bounded)	Model estimate 20%, bounded to [2%, 65%] from reported growth of 65%
Terminal operating margin	36.2%	Model estimate (bounded) (bounded)	Model estimate 30.0%, normalised down from today's 60.4%; kept within a maturity band of [36.2%, 62.4%] (floor 60% of current, ceiling the demonstrated peak)

Assumption	Value	Basis	Derivation
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	790.8bn	123.6x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.8tn	63.3x	44.0x	24.6x
Intel Corporation (INTC)	511.1bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	168.2bn	18.5x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	31.0x	4.7x	3.3x

Implied value applies the peer median P/E of 47.2x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 610% above our intrinsic DCF (USD 42.26). The blended value reconciles the two; read it as a triangulation, not a precise number.
- At USD 219.74 the price sits above even the bull case (USD 92.74); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 168% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 36.2% (estimate was 30.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quarter/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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